PROJECT REPORT

ON

SAP FI-MM-SD IMPLEMENTATION

KALINGA INSTITUTE OF INDUSTRIAL TECHNOLOGY (KIIT)

Deemed to be University U/S 3 of UGC Act, 1956

SUBMITTED BY:

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PROBLEM STATEMENT

Companies generally utilize seperate systems for finance, procurement, and sales, which often leads to increasing pressure to streamline operations, improve financial visibility, integrate business functions across departments and handling data inconsistency, and delays in decision-making. Manual handling of transactions and fragmented systems leads to increased risk of errors, data inconsistencies, delayed reporting, operational inefficiencies and reduces operational transparency that exhibits growth. Therefore, there is a need for an integrated system that can combine all business processes and provides real-time data visibility.

PROJECT OVERVIEW

This project involves the implementation of ERP systems using SAP concepts to replace the existing legacy systems and establish a unified, process-driven platform across the enterprises. It focuses on three basic modules: Financial Accounting (FI), Material Management (MM), and Sales & Distribution (SD). For demonstration purposes, a fictitious company, ABC Pvt Ltd, is used to showcase and simulate real-world business scenarios.

OBJECTIVES

The main objectives of this project are: -

- To understand, standardize and automate SAP FI, MM, and SD modules
- Enable scalable growth by building a future-ready ERP foundation
- To simulate real-world business processes
- To demonstrate integration between the modules and establish a single source of truth for master data across all departments
- Eliminate manual data entry and reduce the risk of human-errors

PROJECT SCOPE

In-Scope Modules: FI/CO, MM, SD

Organizational Scope: Company Cose 1000- ABC India Pvt. Ltd.| Plants: Mumbai, Pune| Processes: P2P, O2C, R2R

Out of Scope: HR/Payroll (Phase 2), legacy systems, third-party integration beyond defined interfaces, and decommissioning

ORGANIZATIONAL STRUCTURE

- **Company Code:** ABC01
- **Plant:** PL01
- **Storage Location:** SL01
- **Sales Organization:** SO01
- **Distribution Channel:** DC01

This will help in maintaining consistency and operating business processes efficiently.

BUSINESS REQUIREMENTS

- Integration between all the three major modules: procurement, sales, and finance
- System must support automated accounting entries, and journal postings for all procurement and sales transactions
- Features of real-time tracking of transactions
- Inventory and order management should be efficient

SOLUTION OVERVIEW

To ensure seamless data flow and eliminates redundancy, The SAP ERP system combines all the major three modules in a unified platform. In this unified system, the procurement activities update the inventory and financial records whereas, the revenue and receivables are generated by the sales transactions.

MODULE IMPLEMENTATION

FINACIAL ACCOUNTING (FI)

- Creation of Accounts Sheets
- Setup of Accounts Payable and receivable
- Configuration of General Ledger
- Automatic posting of account entries

MATERIALS MANAGEMENT (MM)

- Creation of Vendor Master Sheet
- Processing of Purchase Order
- Goods Receipt and updated Inventory
- Verification of the invoice

SALES & DISTRIBUTION (SD)

- Creation of Customer Master Sheet
- Processing of Sales Order
- Billing Sheet and Delivery data
- Calculation of Revenue generated

INTEGRATION OF MODULES

- All modules share the master data to ensure consistency
- MM integrates with FI by generating accounting data during the procurement
- SD integrates with FI by recording revenue and receivables

WORKING PROCESS FLOW

PROCUREMNT TO PAY CYCLE/ PROCUREMENT CYCLE (P2P)

Vendor --> Purchase Order --> Goods Receipt --> Invoice --> Payment

- For vendor, Purchase Order is created
- Goods Receipt then updates the inventory
- Invoice is then generated and verified as well
- Finally, Payment is made to the vendor

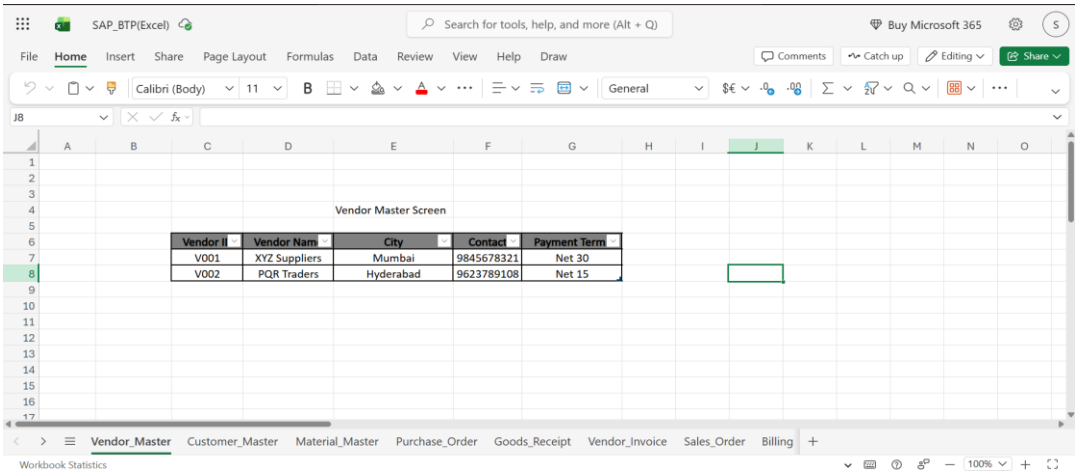
ORDER TO CASH CYCLE/ SALES CYCLE (O2C)

Customer --> Sales Order --> Delivery --> Billing --> Payment

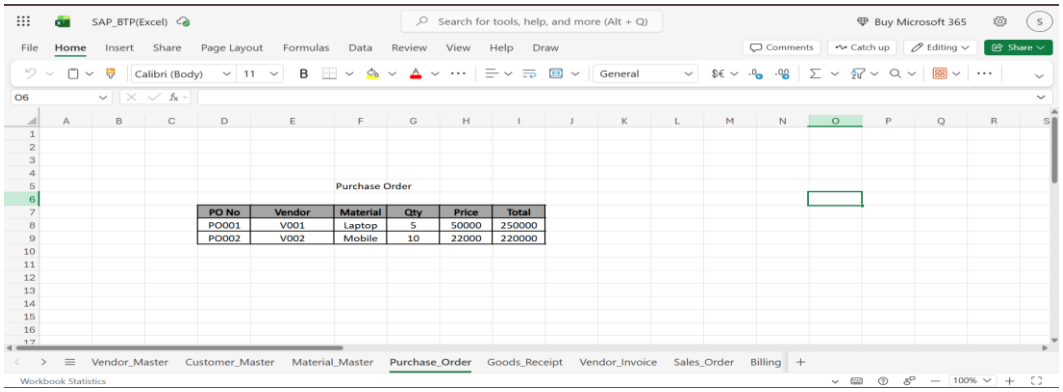
- For customer, Sales Order is created
- Goods are delivered to respective location
- Billing Invoice is generated
- At last, Payment is received

SCREENSHOTS OF WORKING PROJECT

- **Vendor Master**



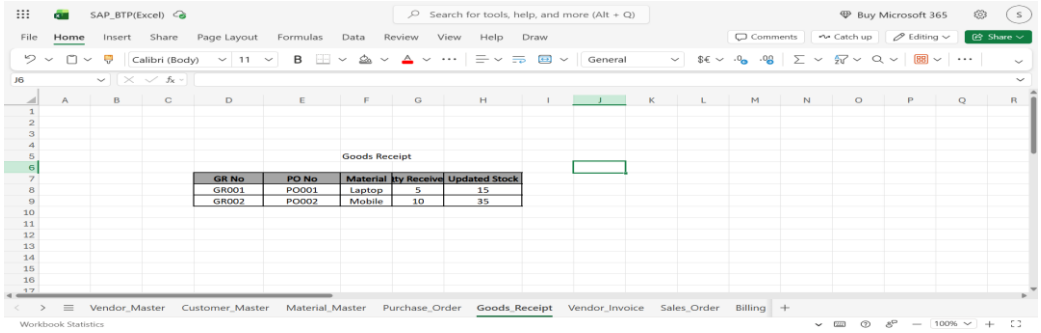
- **Purchase Order**



Purchase Order

PO No	Vendor	Material	Qty	Price	Total
PO001	V001	Laptop	5	50000	250000
PO002	V002	Mobile	10	22000	220000

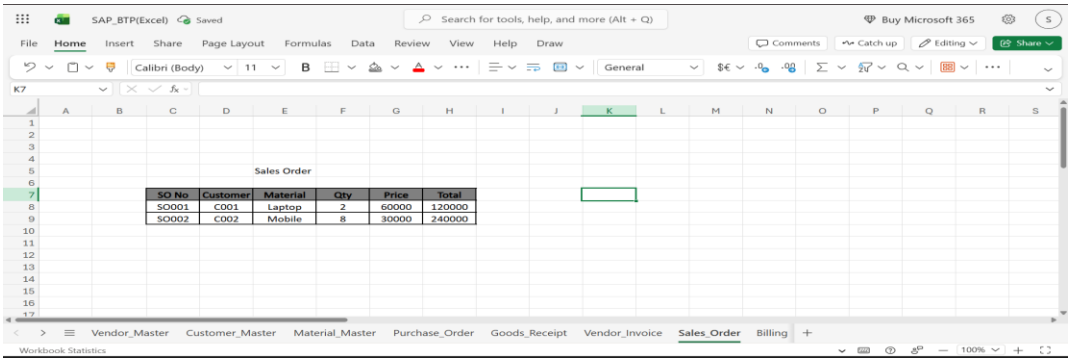
- **Goods Receipt**



Goods Receipt

GR No	PO No	Material	ty Receive	Updated Stock
GR001	PO001	Laptop	5	15
GR002	PO002	Mobile	10	35

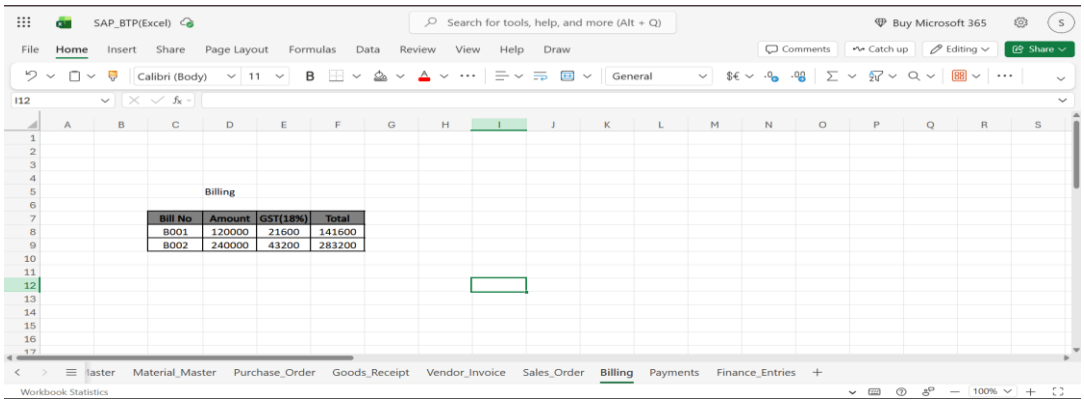
- **Sales Order**



Sales Order

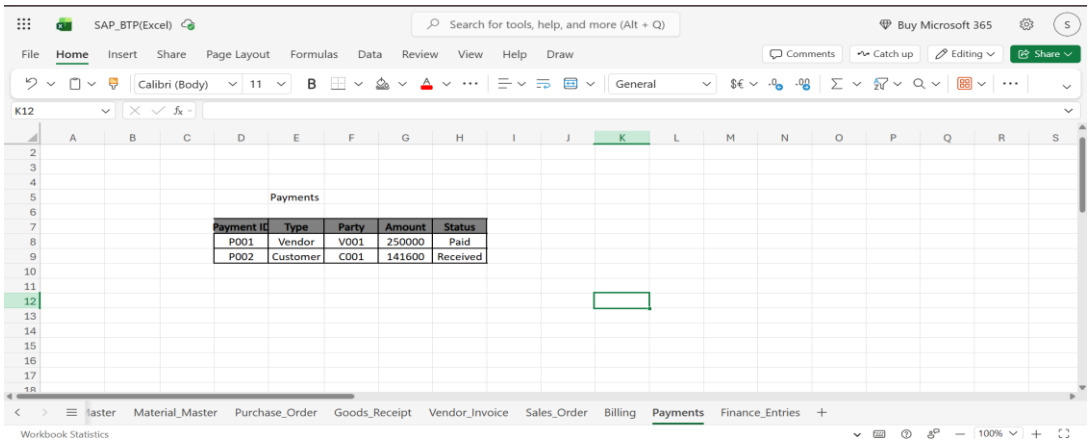
SO No	Customer	Material	Qty	Price	Total
SO001	C001	Laptop	2	60000	120000
SO002	C002	Mobile	8	30000	240000

- **Billing & Payment**



Billing

Bill No	Amount	GST(18%)	Total
B001	120000	21600	141600
B002	240000	43200	283200



Payments

Payment ID	Type	Party	Amount	Status
P001	Vendor	V001	250000	Paid
P002	Customer	C001	141600	Received

TECH STACK

- Concepts of SAP BTP
- Microsoft Excel (for demonstrating real-world simulation and calculation purposes)

UNIQUE POINTS

- Integration between FI, MM, and SD modules
- Demonstration of real-world simulation using Excel
- Representation of Business workflow through process cycle

FUTURE SCOPE

- Can be expanded to more modules, for e.g. HR and SCM
- Implementation with the help of SAP S/4HANA
- Integration with even advanced analytical tools

CONCLUSION

This project successfully involves and demonstrates how SAP integrates multiple business modules and functions into unified system. It improves data consistency, efficient operation handling, accurate financial calculations and reporting, and facilitates decision-making. This project helps in providing a strong foundation for using and understanding ERP systems and their learning about their real-world applications.